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Research Briefing | Germany

Shadow unemployment could briefly reach 15%

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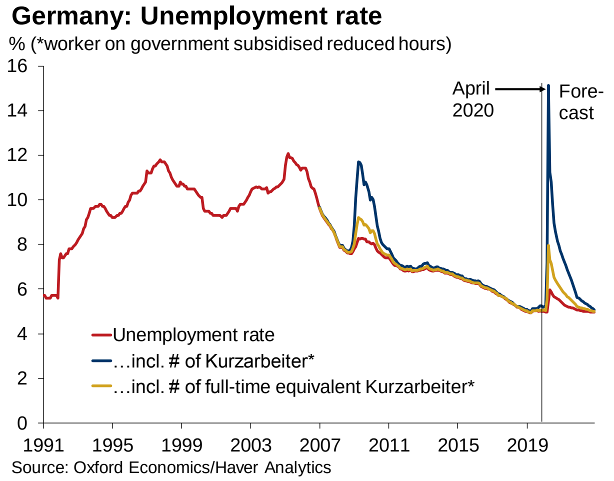
- **Germany's measures to contain the pandemic are leading to a recession of unprecedented depth and breadth, bringing the decade-long labour market boom shuddering to a halt. Although official unemployment may only rise modestly, the surge in employees on reduced working hours could briefly push the "shadow" unemployment rate to a historic high of 15%, from 5.1% in 2019.**
- **We expect that most firms will opt to hoard labour like they did in 2009 as they anticipate a swift recovery and are wary of a demographically-driven shortage of qualified labour post-lockdown. This could limit the rise in the official unemployment rate to about 6% in the coming months, up from 5% in March, despite an expected -4% GDP contraction this year.**
- **In contrast, the number of workers on reduced working hours (Kurzarbeit) is set to temporarily skyrocket to about 4m, or 10% of the workforce, in April as the lockdown curtails labour demand and supply. This is three times the 2009-peak. Although the government is replacing 60%-67% of lost incomes, we expect household consumption to drop -4% this year.**

The coronavirus and the government's containment measures have resulted in a sudden stop to Germany's decade-long labour market boom. Our updated forecasts now envisage the economy plunging into a deep recession in H1 2020, with activity contracting by -10% before a recovery in H2 that limits the fall in 2020 GDP to around -4%.

The government has already put in place a sizeable fiscal response including much-improved conditions for the Kurzarbeiter-scheme, which played a big role in limiting the labour market fallout during the global financial crisis and is now being copied in many parts of Europe. Kurzarbeiter allows firms to reduce employees' work hours, with the

Figure1: The shadow unemployment rate could surge to new highs as coronavirus triggers a severe lockdown and a deep recession



The looming deep recession will trigger a sudden end to the decade long labour market boom. Unemployment should only rise modestly as firms scramble to retain valuable employees in the hope that the recession remains short. But the number of workers on reduced hours could reach over 4m in April, three times its 2009-peak. Including these workers, the shadow unemployment rate could temporarily reach 15%.

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government paying 60%-67% of lost wages to workers. This limits the hit to employment, eases liquidity pressure on firms, reduces the damage to consumer confidence, and, maybe most importantly, enables firms to rapidly restart once restrictions are lifted and the recession ends.

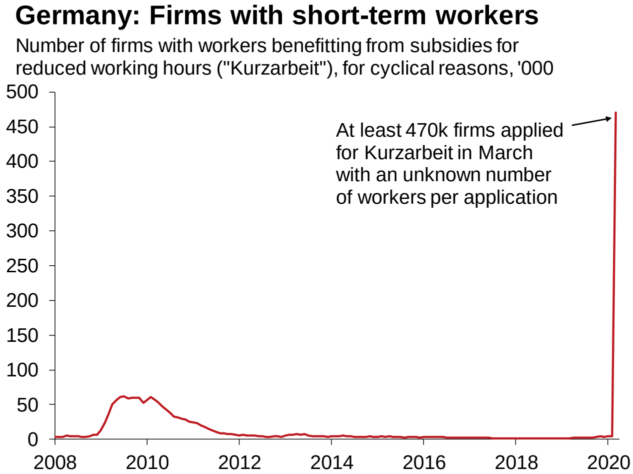
Given the unknown extent and duration of the necessary lockdown measures and the speed of the recovery, **our labour market forecasts are fraught with uncertainty**. **But even the limited available data paints a dismal picture for the coming months**:

- The government plans to release further details by early May, but by late- March the number of firms using the Kurzarbeiter-scheme had risen by at least 470,000 (**Figure 2**) with further gains since then. This could see the number of affected workers rise to over 4mn in April cautiously assuming 8 workers per firm. The historic high was 1.4mn in April 2009.
- According to a daily survey of German households, close to 10% of all employees or over 4mn are currently on the scheme (**Figure 3**). This is much higher than the 1.6mn the federal employment agency assumed a few weeks back.
- According to Google Trends the search intensity for “Kurzarbeitergeld”, the money paid to workers on the scheme, is 17 times higher than in 2009.
- The impact on unemployment is even less certain but likely less severe. Ifo employment intentions dropped sharply in March (**Figure 4**) and point to a contraction in employment of about -1%. Similarly, just over 1% of those surveyed in the daily survey say they have become unemployed since January.

We still think that April may mark the peak of the lockdown-driven recession and that a gradual rollback of the measures will begin in late April. Germany may follow Austria, which officially announced its gradual exit will start on April 14, one or two weeks later. So, much of the current high-frequency data could improve later in Q2, although the pace of the recovery is uncertain.

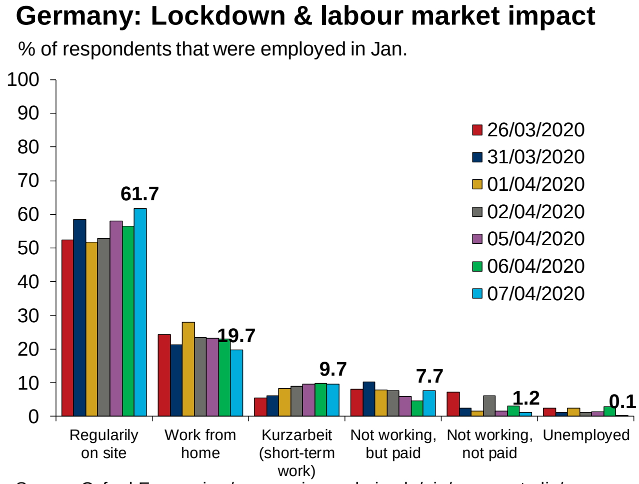
But even in our baseline scenario the “shadow” unemployment rate, which includes the number of unemployed and those on Kurzarbeit, could rise to 15% in April (**Figure 1**), 3ppts above the 2009-peak. It then falls quickly in H2 as lockdowns are lifted and further fiscal stimulus is provided. While extraordinary, the high figure could overstate the impact on the economy and

Figure 2: An historic surge in the number of firms furloughing their workers



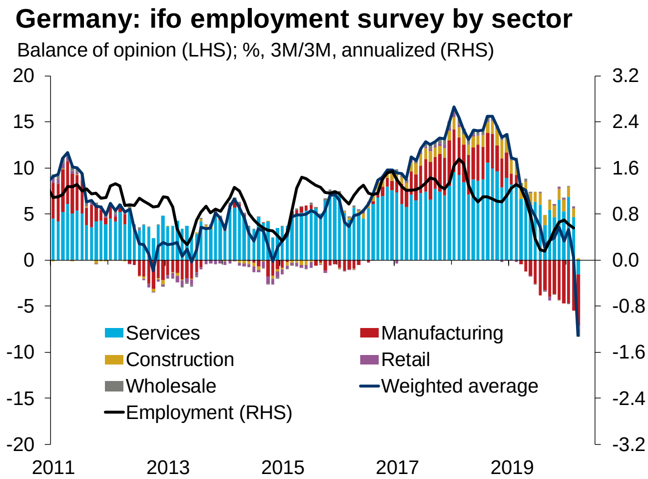
Source: Oxford Economics/Haver Analytics/Federal Employment Agency

Figure 3: Working from home and Kurzarbeit is surging; rise in unemployment limited so far



Source: Oxford Economics / www.uni-mannheim.de/gip/corona-studie/

Figure 4: Employment intensions in services sector nosedived in March, could fall further



Source: Oxford Economics/Haver Analytics

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incomes to some extent as many affected workers will not reduce their working hours to zero and because many are part-time employees. We think average hours per employee could drop by 8% in H1.

Moreover, private and government initiatives could also reduce the adverse shock. For instance, the lack of seasonal workers from abroad (travel bans) will be partially covered by workers facing restrictions in their usual jobs. In addition, sectors that are benefiting from the lockdown (e.g. food retail and parcel delivery) are collaborating with hard-hit sectors (e.g. fast food and restaurants). This marks a very welcome option for some workers to reduce the drop in their income. Moreover, many employees receive a contractual top-up of government payments from their employers. **Even so, these developments are unlikely to fundamentally change the adverse near-term outlook.**

Unlike in 2009, consumption will be hit

Thanks to a milder virus outbreak, which has allowed somewhat less stringent lockdown measures, the damage to the German economy may be among the least severe in 2020. The strong and especially swift fiscal policy response will also be key and should help to keep most of the economy afloat for the duration of the lockdown.

Still, the temporary surge in underemployment and unemployment will take a large chunk out of workers' paycheques. The loss of wage income may amount to "only" 3% in 2020 compared to what we forecasted in February due to the Kurzarbeit scheme. But with a rise in unemployment and the severe hit to firms' bottom-lines this year, total **disposable income may be nearly 5% lower in nominal terms than we previously expected**. Households' real purchasing power may contract 3% this year as the drop in inflation will offer some support.

We now think that German consumption may plummet by 10% or so in Q2 (Figure 6) and 4% in 2020 overall. The lockdown restrictions affect around half of the consumer basket (**Figure 5**), so consumption may fall even more than GDP in H1, while the labour market hit will limit the chance of the lost consumption being made up. In addition, travel restrictions may last into H2, weighing on the recovery in the battered tourism sector. **So even though we expect the recession to last only two quarters, its severity will make 2020 a year to forget. And the risks to our view remain tilted to the downside.**

Figure 5: Consumer basket under temporary restrictions, some permanent losses likely

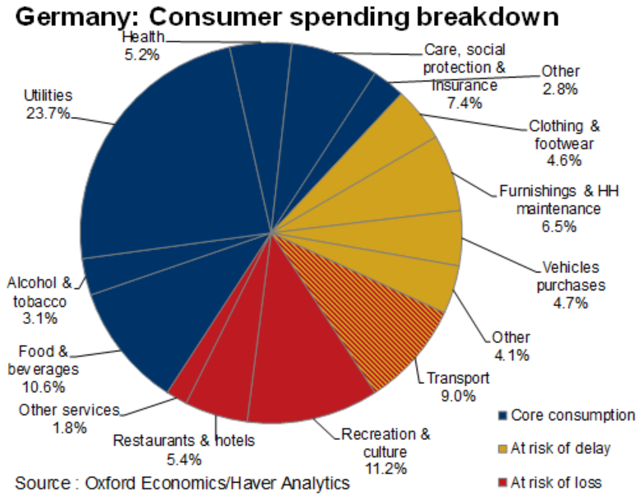

Figure 6: Hit to consumption may be worse than the one to GDP, in contrast to 2009